2. Cost Dumping

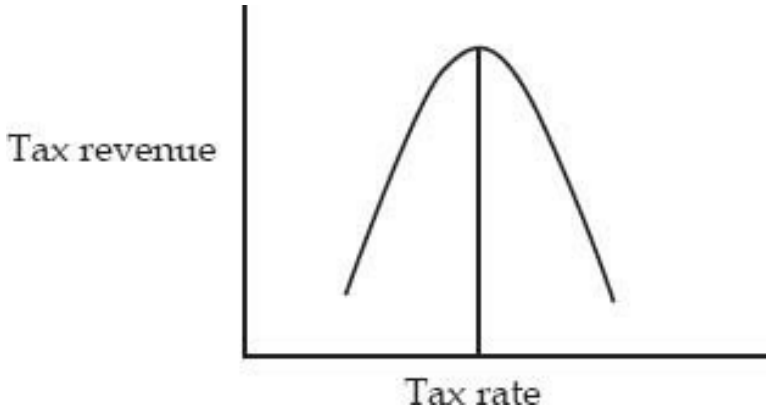
It refers to selling goods in foreign countries at a price lower than cost of production. It is mainly aimed at wiping out the domestic producers from the market. It is also called **predatory dumping.**

Duty imposed on dumped goods is called Anti-Dumping Duty. Please remember that countervailing duty is to counter low cost and low price because of subsidy but anti-dumping duty is to counter voluntary low price to capture market.

Laffer Curve

Laffer curve explains the relationship between tax rate and tax revenue. It says that at lower as well as higher rate of tax, the tax revenue is low but tax revenue is high at optimal rate of tax. Lower rate leads to lower tax collection. At higher rate of tax, there is high tax evasion and so there also the tax revenue is low. But, at optimal rate, there is no tax evasion and so the tax revenue reaches its maximum. The following figure 5.6 explains this.

Figure 5.6



Off-budget Liabilities

These liabilities arise not because of borrowing or use of the public